



Risk Register 2023

Thames Water UPS (Closed Section)

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Medium	Medium	11	Investment Ctte
Interest rate and inflation movements	Med-High	Medium	5	Trustee
Longevity improvements beyond assumptions	Low-Med	Med-High	10	Sponsor
Member option take-up variations	Medium	High	5	Administrator

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Med-High	Med-High	6	Trustee
Corporate restructuring or disposal	Low	Medium	7	Administrator
Dividend policy changes	Low-Med	Medium	11	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Medium	Medium	5	Trustee
Liquidity shortfall under stress	Low-Med	Medium	13	Trustee
Manager underperformance	Low	Med-High	7	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Low-Med	Medium	14	Administrator
Data quality degradation	Low	Med-High	6	Investment Ctte
Cyber and information security	Low	Medium	10	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low-Med	Medium	11	Investment Ctte
Changes to tax regime for pensions	Low-Med	Med-High	14	Administrator
New Funding Code compliance	Low-Med	Medium	15	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Low	Medium	10	Sponsor
Complaints and IDRP escalations	Medium	High	15	Investment Ctte
Safeguarding vulnerable customers	Medium	High	14	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Low-Med	Medium	14	Sponsor
Insurer capacity and selection	Low	Med-High	4	Trustee
Transfer documentation errors	Med-High	Med-High	12	Administrator

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Medium	High	8	Sponsor
Physical risk on property holdings	Low	Medium	13	Sponsor
TCFD reporting completeness	Low	Medium	15	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low	Med-High	15	Administrator
Adviser rotation and independence	Med-High	Med-High	8	Sponsor
Conflict of interest management	Low-Med	High	13	Trustee

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.